QUARTERLY INVESTOR REPORT

Pinecrest Office Center | Tempe, AZ

Investment	Pinecrest Office Center
Quarter	1Q 2026
Report Date	July 6, 2026
Sponsor	Keel & Compass Properties
Occupancy	93.2%

Business Plan Progress

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 11.2% with an equity multiple of 1.13x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Floor plates are efficient and column-spacing supports open and private-office layouts. Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital.

Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. Weighted average lease term remaining is 10 years and in-place rents average $39 per square foot, full service gross.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 36 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The building features a renovated lobby, structured parking at a ratio of 13 per 1,000 square feet, and a tenant lounge with fitness center.

Floor plates are efficient and column-spacing supports open and private-office layouts. The building features a renovated lobby, structured parking at a ratio of 41 per 1,000 square feet, and a tenant lounge with fitness center. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Weighted average lease term remaining is 4 years and in-place rents average $39 per square foot, full service gross.

Investment Overview

The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Projected levered IRR is 7.6% with an equity multiple of 1.46x over the hold period. The building features a renovated lobby, structured parking at a ratio of 33 per 1,000 square feet, and a tenant lounge with fitness center. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant.

Projected levered IRR is 3.4% with an equity multiple of 1.48x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 5.5% on contributed capital.

Leasing and Marketing

The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Service requests are tracked through a work-order system with an average completion time of 9 hours. The building features a renovated lobby, structured parking at a ratio of 23 per 1,000 square feet, and a tenant lounge with fitness center. Floor plates are efficient and column-spacing supports open and private-office layouts. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 27th business day. Collections for the period were 89.3% of billed charges, with bad debt of 4.8% of gross potential income. Floor plates are efficient and column-spacing supports open and private-office layouts.

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Investor Distributions

Floor plates are efficient and column-spacing supports open and private-office layouts. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 9.4% with an equity multiple of 1.47x over the hold period.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 8.4% with an equity multiple of 1.28x over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. The building features a renovated lobby, structured parking at a ratio of 36 per 1,000 square feet, and a tenant lounge with fitness center. Service requests are tracked through a work-order system with an average completion time of 12 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Floor plates are efficient and column-spacing supports open and private-office layouts. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 25 additional team members. Collections for the period were 89.0% of billed charges, with bad debt of 6.3% of gross potential income. Weighted average lease term remaining is 10 years and in-place rents average $39 per square foot, full service gross. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day.

Risk Considerations

The building features a renovated lobby, structured parking at a ratio of 44 per 1,000 square feet, and a tenant lounge with fitness center. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Projected levered IRR is 13.3% with an equity multiple of 1.30x over the hold period. The building features a renovated lobby, structured parking at a ratio of 34 per 1,000 square feet, and a tenant lounge with fitness center. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Management Commentary

Floor plates are efficient and column-spacing supports open and private-office layouts. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 2 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 29th business day.

Service requests are tracked through a work-order system with an average completion time of 13 hours. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 17 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 91.3% of billed charges, with bad debt of 3.4% of gross potential income.

Investment Overview

Distributions to investors for the quarter were paid at an annualized rate of 7.0% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Weighted average lease term remaining is 4 years and in-place rents average $39 per square foot, full service gross.

Projected levered IRR is 6.8% with an equity multiple of 1.16x over the hold period. The building is served by redundant elevators, a backup generator and a high-efficiency chiller plant. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

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Disclaimer and Confidentiality

Each party represents that it has full power and authority to enter into and perform its obligations hereunder. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of AZ. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Time is of the essence with respect to each and every provision of this instrument. This document relates solely to Pinecrest Office Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of AZ. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Pinecrest Office Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Pinecrest Office Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Time is of the essence with respect to each and every provision of this instrument. This document relates solely to Pinecrest Office Center and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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